

1 Parameterizing the Model

The empirical definition of entrepreneurship that we use for the calibration must be consistent with the notion of entrepreneur in our framework. We use the SCF data to classify as entrepreneurs the households that declare that they are self-employed, that they do own a business, and that they have an active management role in it. This definition eliminates managers (who are not likely to think of themselves as self-employed) and the business owners who do not manage the business that they own.

Our general calibration strategy is to reduce the number of parameters that we use to match the data as much as possible. We divide our parameters into two sets. The first set either can be easily estimated from the data without using our model or has been estimated by many previous studies. We use the second set of parameters to match some relevant moments of the data.

Table 1 Parameters of the Model

		Value	Source(s)
<i>Panel A: Fixed Parameters</i>			
σ	Risk aversion	1.5	?
δ	Depreciation rate	.06	?
α	Capital share	.33	?
A	TFP scaling	1.0	Normalization
π_y	Prob. staying young	.978	See text
π_o	Prob. staying old	.911	See text
$\mathbf{P}_y$	Income transition	See text	?
p	Social security	40% avg. income	Kotlikoff et al. (1999)
η	Altruism	1.0	Perfect altruism
<i>Panel B: Calibrated Parameters</i>			
β	Discount factor	.865	
θ	Entrepreneurial ability	[0, .51]	
$\mathbf{P}_\theta$	Ability transition	See text	
ν	Decreasing returns	.88	
f	Default retention	75%	

Panel A of the table shows the set of parameters that we take from other studies. We take the coefficient of relative risk aversion to be 1.5, a value close to those estimated by ?. The depreciation rate δ is 6 percent. The share of income that goes to capital in the nonentrepreneurial sector is 0.33. The probabilities of aging and of death are such that the average length of the working life is 45 years, and the average length of the retirement period is 11 years. The logarithm of the income process y for working people follows an AR(1) with persistence 0.95, as estimated by ?. The variance is chosen to match the Gini coefficient for earnings of 0.38. The social security replacement rate is 40 percent of average income. In the baseline case we set $\eta = 1$ (perfect altruism).

Panel B lists the remaining parameters: β , the vector $\boldsymbol{\theta}$, $\mathbf{P}_\theta$, ν , and f . We consider a very parsimonious calibration and allow for only two values of entrepreneurial ability: zero and a positive number. We use these six parameters to pin down the following moments: the capital-output ratio, the fraction of entrepreneurs in the population, the fraction of entrepreneurs exiting entrepreneurship, the fraction of workers becoming entrepreneurs, the ratio of median net worth of entrepreneurs to that of workers, and the wealth Gini coefficient.

Given the features matched in the calibration, we analyze how well the model matches the overall distribution of wealth and the distributions of wealth for entrepreneurs and workers. We use the implications of the model in this respect as a check of the validity of our model.